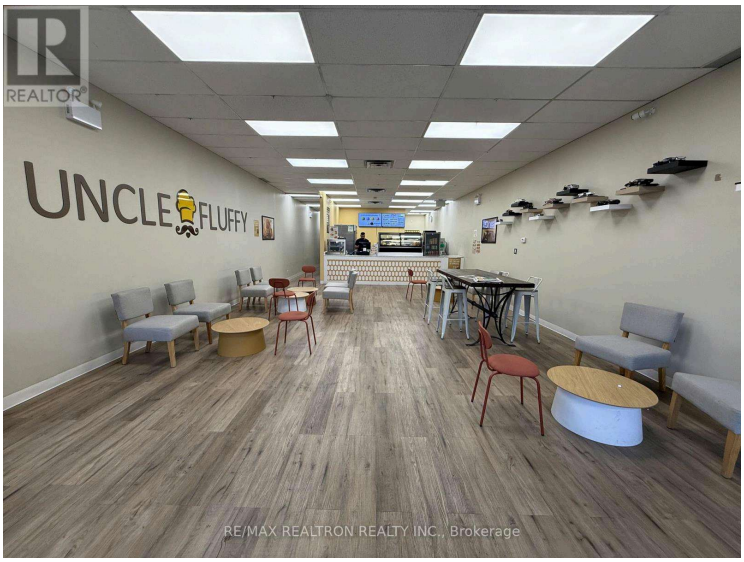
MLS Number of the business: E12323180
Address of the business: 17 King St W, Oshawa (Central), ON, L1H 1A1
Hyperlink to the listing: link



Business Overview

The current name of the business is 'Turnkey Cafe' where they sell Japanese cheese cakes and pastries. I would like to rename it to 'The Cake Shop'. This business aims at selling cakes along with light beverages including black tea, black coffee, soft drinks and sodas.

The intended service to provide includes baking cakes from scratch, customization of the cake for parties and celebrations. The shop will also have the opportunity for dine-in and take out. The target customers include all age groups who love to have cakes or have a sweet tooth. Also, aiming at consumers who want custom made cakes for private occasions.

Sales revenue : Slices of cakes will be priced from $ 5 to $ 15, and full cakes range from $30 to $50 for the in-house cakes. Custom orders would start from $ 50 and up depending on the size of the cake and work to be done. Canned beverages to be $1.50 and tea/coffee to be $2.50.

Expected customers per day = 80 (10 customers per hour, considering the shop timing is 10-5)= 2400 customers per month

Expected online orders = 20 = 600 orders per month.

Expected Custom orders per day = 3 = 30 per month

Total customer orders per month = 2400+600+30 = 3060.

Let's consider the average amount spent by each customer is $10 for regular customers, so monthly income = 10*3000 = 30000$

And custom order per customer is $ 50 = 50*30=1500

So total monthly income = 31500

Staffing: Full-time staff to work on weekdays (10 am to 5 pm): 2- Bakers, 2 - Servers, a Manager(myself).

Part-time workers: 1 Baker, 2 Servers and a Manager (Myself)

Bakers are expected to bake cakes and prepare things for pre-orders. Servers are expected to deliver the cakes to the customers and also collect money from customers. Me as a manager would jump into any role as it demands.

Purchasing and Expenses: Baking items (including flour, sugar, creams, egg, milk etc) = $4000 per month

Beverages (All kind) = $ 500 per month

Rent and utilities (including the baking oven operation cost) = $ 3000 per month

Staff wage: 25$ per hour for bakers = $10,000 per month

18$ per hour for servers = $8000 roughly per month

Manager gets profit

Total expense =4000+500+3000+10000+8000= $25,500

Student Name : Greeshma Saji
ID: 101026214

Profit = 31500-25000= $ 6500 (for the manager/myself)

Planning

As a strategic plan, I aim to open multiple branches under the 'Cake Shop' name in the span of roughly 5 years. Each new store will be opened through the profit gained and the locations chosen for the business would be prime locations. As a tactical plan, I aim to expand the online business through advertisements and thus attract more customers who need custom cakes. I also want to tie up with local event management companies so that bulk orders can be made. As an operational plan, I will make sure there are enough supplies each day with enough staffing. A contingency plan would include limiting the number of staff and shortening the business hours, so as to get the best yield. Also, reassessment of items sold will be done to make sure I get good business.

Swot analysis

Strength: The business is at a prime location and It is already established as a pastry cafe, hence has the high probability of retaining the existing customers, with the opportunity to attract even more. The dine-in facility aims at family audiences and the option for take out attracts individuals who prefer to enjoy cakes in their private space. The customization of cakes attracts bulk and large orders from individuals/group hosting celebrations, and thus generating higher income with more profits.

Weakness: One weakness includes the limited dining facility for customers as the building is just 1600 sqft in total. In addition, since its located right at the centre of the city, the parking fasciitis are very limited, which may discourage customers.

Opportunity: The business can be expanded virtually through platforms like uber, where consumers can take out orders, thus eliminating the need for in-house seating capacity, yet increasing the production. Social media advertising can popularize the business and attract customers mainly to have custom cakes at their special occasions.

Threats: The competition from big groups offering the same service such as D spot can influence the sales. There are also similar cafes surrounding the business that offers not only cakes, but also other delicious pastries. The cake production to special hostings may not be always successful unless the business attracts event management groups. Because individuals conducting big parties, usually hire an event management group to take care of the whole setting including food, thus limiting the opportunity to buy just cakes individually.

Leadership style: I would opt-in as a consultative leader where I discuss the business with all my employees and make a decision myself based on their input, which I think would help the business grow. Since, I expect my server staff to be more productive and interchangeably doing the duties of a cashier, kitchen help along with customer service, making them feel valued would benefit my business. Me as a manager, who considers my employees opinion would make them trust the business process and would be happy to grow with me.

Conclusion: I believe that this business would be profitable, considering that the business I am buying is already into pastry and cheese cake making. The targeted customers for this business is the same as with the previous business. There are only a few businesses that specialize into making cakes and selling them with the option to dine-in or take out, as well as customization and pre-ordering opportunities. I am also foreseeing the establishment of this business eventually by expanding the business to other cities and making the business a brand through social media advertising, seeing a great potential for higher income potential.

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